Written evidence to the Senedd Finance Committee

Welsh Government Draft Budget 2027-28: a call for information

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A strategic proposition for the Committee's consideration: whether Wales should hold an instrument that converts a period of taxation into a permanent public asset. Offered as analysis, not as a costed proposal for 2027-28.

Individual submission — 11 August 2026

Introduction

This submission responds to the Committee's call for information on the 2027-28 Draft Budget. It does not comment on individual departmental allocations. It addresses the strategic and overarching questions the Committee has invited views on, in particular question 4 (the use of Wales's tax-raising powers), question 8 (shifting allocations toward preventative investment), and question 6 (actions to support economic growth), with a briefer note on question 3 (efficient allocation).

Its purpose is to put one strategic proposition before the Committee. The annual budget round, by its nature, treats Welsh public finance almost entirely as a yearly flow: resource is raised and spent within the year. Wales currently holds no instrument for converting a period of taxation into a permanent public asset. This submission sets out why that may be a gap worth the Committee's strategic attention, and offers one worked illustration of what an instrument to fill it could look like. A fuller discussion paper developing the illustration is available on request; this submission is written to stand on its own.

Question 4: the use of Wales's tax-raising powers

Wales's principal devolved fiscal lever, the Welsh Rates of Income Tax, is at present understood almost exclusively as a recurrent revenue instrument. A penny on a rate raises a sum that funds a year of spending, and the question is only whether to levy it. The current official estimate is that one percentage point on the basic rate would raise approximately £311 million in 2026-27.

There is, however, a strategic alternative the Committee may wish to consider, because it changes what the tax power is for. A time-limited, hypothecated use of that power, a levy collected for a defined period and paid not into general spending but into a protected, invested capital fund, would convert a temporary act of taxation into a permanent asset. Once such a fund were large enough that its investment income met its purpose, the levy could end, and the asset would remain, continuing to generate a return in perpetuity.

This is a materially different proposition from ordinary taxation. Conventional revenue is consumed in the year it is raised. Capital placed in an endowment is not consumed; it is converted into an income-generating public asset that strengthens, rather than depletes, the Welsh public balance sheet over time. The distinction is the one that separates renting from owning, or, in the sovereign-fund tradition, spending a windfall from converting it into a lasting financial asset.

The Committee's remit is well placed to ask a question that no annual budget line can: whether Wales should hold at least one instrument of this kind, and whether its tax-raising powers, used temporarily and for capital rather than permanently and for revenue, could build one.

Question 8: investing to reduce future demand

Question 8 asks whether budget allocations should shift toward preventative initiatives that reduce future demand for services. The proposition above is, in essence, the fiscal extension of that principle.

Preventative spending on services seeks to reduce a future call on the budget by acting earlier. A capital endowment does the same thing structurally: it uses resource now to build an asset whose returns permanently offset a liability the budget would otherwise meet from annual taxation indefinitely. Where preventative health spending reduces future demand for treatment, a capital fund reduces the future recurrent cost of whatever it is built to finance, by meeting that cost from investment income rather than from each year's revenue.

One worked illustration, developed in the background paper, is a contributory Welsh income-protection fund: a temporary levy building a permanent endowment that pays a time-limited income top-up to workers who lose their job or hours, easing the sharp fall to Universal Credit that the Welsh Government's own Basic Income for Care Leavers evaluation identified as the most damaging moment for those leaving support. The illustration is offered not as a costed proposal for 2027-28, but as a concrete example of the general principle the Committee's question invites: building an asset once to reduce a recurring future cost, rather than funding that cost annually and without end.

Question 6: supporting economic growth

The same instrument speaks to question 6. A permanent, invested Welsh capital fund is in itself an act of national capital formation: it accrues a growing financial asset to the people of Wales, held and reinvested rather than consumed. Provided it were invested on prudent, diversified, arm's-length commercial terms, rather than directed at local projects, which would undermine both its returns and its independence, it would represent retained Welsh wealth compounding over time, and an institutional capacity Wales does not at present possess.

Question 3: efficient allocation

More briefly, on question 3: the capital-versus-recurrent distinction is itself a question of allocative efficiency. Meeting a long-term liability from annual revenue, in perpetuity, is not self-evidently more efficient than pre-funding it once through a retained, income-generating asset. The Committee may wish to consider whether some liabilities Wales currently meets year on year would be more efficiently met from the returns on capital built for the purpose.

An essential caveat: constitutional competence

Any instrument of this kind raises a prior question that this submission does not attempt to resolve and that the Committee will recognise at once. Social security supported from public funds is a reserved matter under the Government of Wales Act 2006, and depending on its design a scheme of this kind may fall within that reservation. Whether such an institution could be established within Wales's existing competence, could be structured to fall outside the reservation, or would require UK legislation or intergovernmental agreement, is an open legal question that would need an independent constitutional opinion before any implementation could be contemplated. It is raised here plainly, as the first gate any such proposal must pass, rather than assumed away. Importantly, the underlying strategic point, whether Wales should seek an instrument that converts temporary taxation into permanent public assets, stands independently of how that particular legal question is resolved.

What is offered for the Committee's consideration

This submission does not ask the Committee to endorse any specific scheme. It offers one strategic proposition: that the annual budget frame necessarily cannot build lasting assets, and that Wales may benefit from at least one instrument that can, funded by the temporary and hypothecated use of a tax power it already holds. The worked illustration is provided to make the idea concrete. The fuller paper behind it identifies its own open questions, above all the constitutional one and the actuarial assumptions that only administrative data can settle, and proposes that these be tested through independent legal and feasibility work rather than asserted.

The Committee's strategic, overarching perspective is precisely the vantage from which such a question can be asked. I would be glad to provide the background paper, or any further detail, should it assist the Committee's scrutiny.

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